

LARSON v. MARK TWAIN MEDICAL CENTER

19CV44062

PLAINTIFF'S MOTION FOR CLASS CERTIFICATION

This is a wage/hour dispute involving alleged rounding and rest/meal deficiencies suffered by those in the employ of Mark Twain Medical Center. Before the Court is the continued hearing on plaintiff's motion to certify a proposed class. Both sides have submitted requests for this Court to consider "new case authority" on the topic. This Court has obliged, though none of the new cases changes this Court's analysis. **The motion for class certification is GRANTED in part and DENIED in part.**

Class Certification Basics

A plaintiff advocating for class treatment must establish by admissible evidence an ascertainable and sufficiently numerous class, a well-defined community of interest, and substantial benefits from certification that render proceeding as a class superior to the alternatives. A class is ascertainable when it is defined in terms of objective characteristics and common transactional facts that make the ultimate identification of class members possible, and that is sufficient to allow a member of the class to identify himself or herself as having a right to recover. In other words, a class is ascertainable if it is relatively easy to see who is in the class, and who has viable claims. A community of interest exists if there are predominant common question of law or fact which will impact all class members, the proposed class representative has similar individual claims to the class, and the proposed class representative and counsel will adequately represent the class. Regarding predominance, the ultimate question is whether defendant's liability can be determined by facts common to all members of the class, and not by litigating numerous or substantial questions affecting the class members' individual rights. (See *Noel v. Thrifty Payless, Inc.* (2019) 7 Cal.5th 955, 980-986; *Duran v. U.S. Bank National Association* (2014) 59 Cal.4th 1, 28-29; *Brinker Restaurant Corp. v. Superior Court* (2012) 53 Cal.4th 1004, 1021.)

Application Here

Plaintiff Lorraine Larson worked full-time as a patient access specialist at the Mark Twain Medical Center. The bulk of her time was spent in an office, on a telephone, working to resolve billing issues between patients and insurance companies. According to plaintiff, she was the only employee handling inpatient billing and insurance concerns, which meant she was frequently unable to take a meal or rest break with any predictability. Plaintiff's last day worked was 12/05/17. She was ostensibly terminated for allegedly accessing her daughter's medical records. She challenged her termination through a union grievance forum, and reached a settlement for a modest cash payment in exchange for a release of her claims.

Plaintiff filed suit here alleging wage/hour violations. At the heart of her complaint is defendant's policy of rounding time entries to nearest 15-minute interval for every aspect of the workday, even though the written policy provides that rounding is only for payroll purposes. According to plaintiff, rounding is also used for payroll and micro-managing employee meal periods and rest breaks.

Defendant's written time-keeping policy provides in pertinent part as follows:

"It is every employee's responsibility to ensure that time is reported and recorded accurately and honestly. This means reporting only the true and actual number of hours worked ... Non-exempt employees are to record start and stop times at their scheduled shift times. Employees should record their start time no earlier than seven (7) minutes before the scheduled shift start and record their stop time no later than seven (7) minutes after the scheduled shift stop ... Employee clockings are rounded to the nearest 15-minute increment. Time clock rounding is for payroll calculation purposes only. All employees are expected to clock IN and OUT on time as scheduled."

Defendant's original meal period policy provides in pertinent part as follows:

"The 30-minute meal period shall include from the time the employee clocks out to the time the employee clocks back in. Employees are to clock out and in and return to their workstation within their meal period. Employees are to take their meal period away from their workstation."

Later versions of the meal policy clarified that the employees were to receive "uninterrupted meal periods of at least 30 minutes," but reaffirmed that employees should not spend their meal periods at their desk or work station. Although the newer policies provide that "employees are required to clock out and back in for their duty-free meal periods," there is no grace period provided between the end of the meal period and the start of the work period. This becomes material, according to plaintiff, when juxtaposed with defendant's tardiness policy. Defendant defines tardiness as "anytime an employee clocks in after the start of their shift, arrives late to the workstation, and/or is not ready to work at the beginning of the assigned shift." Since the tardiness policy looks to the actual punch time (without rounding), plaintiff contends that it is impossible to enjoy a 30-minute window uninterrupted, and then immediately be at your work station clocked in on time.

Plaintiff also takes issue the rest period policy, which provides in pertinent part as follows:

"All employees are allowed a 15-minute rest period for each four hours worked. The 15-minute rest period shall include the time needed to go from and return to the employee's workstation."

However, since "employees do not clock out for rest periods, which are always paid," it is not clear how the rest periods are being impacted.

Plaintiff proposes a number of sub-classes for certification:

- Class 1 (Rounding Class): All California-based hourly employees employed by Defendants during the time period from May 8, 2015 to the present to whom Defendants paid based on their rounded rather than actual hours worked;
- Class 2 (Meal Break Class): All California-based hourly employees who worked shifts over six (6) hours to ten (10) hours who were employed by Defendants during the time period from May 8, 2015 to the present to whom Defendants did not provide a meal break (or a one hour payment for any violations);

- Class 3 (Missed Rest Period Class): All California-based hourly employees employed by Defendants during the time period from May 8, 2015 to the present to whom Defendants did not provide a rest period (or a one-hour payment for any violations);
- Class 4 (Failure To Timely Pay Wages Class): All California-based hourly employees employed by Defendants during the time period from May 8, 2016 to the present to whom Defendants failed to timely pay all wages due upon separation from employment from Defendants; and
- Class 5 (17200 Class): All California-based hourly employees employed by Defendants during the time period from May 8, 2015 to the present who were subjected to Defendants' unlawful, unfair or fraudulent business acts or practices in the form of Labor Code and Wage Order violations regarding rounding, meal and rest period violations, and payment of final wages.

An employer in California is entitled to round its employees' work time if the rounding is done in a fair and neutral manner that does not result, over a period in time, in the failure to properly compensate employees for all the time they have actually worked. An employer's rounding policy or practice is fair if on average, it favors neither overpayment nor underpayment; but such a policy is unacceptable if it systematically undercompensates employees because in practice is only rounds down. In general, an employer can round to the nearest 15-minute interval so long as doing so does not, over a period of time, failure to compensate the employees properly. (See *Troester v. Starbucks Corp.* (2018) 5 Cal.5th 829, 847; *David v. Queen of the Valley Medical Center* (2020) 51 Cal.App.5th 653, 664; *AHMC Healthcare, Inc. v. Superior Court* (2018) 24 Cal.App.5th 1014, 1020-1021; *See's Candy Shops, Inc. v. Superior Court* (2012) 210 Cal.App.4th 889, 907.) Defendant's written policies are neutral. However, the "tardiness rule" is a problem in two particulars.

First, at the start of every workday: An employee must clock in *before* their start time to avoid being tardy. A conscientious employee might clock in 2-3 minutes early just to make sure they do not run afoul of the tardiness rule. Since employees have to be at their work station when they clock in, the conscientious employee is always at their station a few minutes early. The rounding policy eliminates those 2-3 minutes, even though the employee is basically working. Although the rounding policy is technically neutral because an employee is paid the same whether they clock in 3 minutes late or 3 minutes early, employees do not dare clock in three minutes late because of the tardiness rule. Thus, in practice, employees regularly gift a few minutes each shift just to avoid getting in trouble.

Second, at the close of every meal period: Although the employees are entitled to uninterrupted meal periods, those meal periods must take place somewhere other than their work station. At the end of that 30 minutes, they have to travel back to their work station and clock back in. The old version of the meal policy was clear that the return trip and clocking in had to occur "within" the 30 minutes (an obvious violation). The new version does not expressly state that clock in and return must occur within the 30 minutes, but fails to provide any grace period between the end of the meal period and the restart of work. Without a grace period, the employee invariably must cut into their own meal period to allow enough time to travel back to their station and clock in. The rounding policy will always show a 30-minute meal period, but in reality that period will have to be a few minutes less than that in order to avoid tardiness.

Defendant could easily cure this by simply amending the tardiness policy to define tardiness as anything over 10 minutes, but that is not the current protocol. (See *Ferra v. Loews Hollywood Hotel, LLC* (2019) 40 Cal.App.5th 1239, 1253 (reserved on other grounds) [“the grace period policy means that if the clock shows the employee clocked in before the end of the six-minute grace period, the employee is not considered tardy”].) Nevertheless, defendant contends that the evidence does not support the theory because many employees routinely clocked in late – but merits are only a small part of the certification equation. (See *Sav-On Drug Stores, Inc. v. Superior Court* (2004) 34 Cal.4th 319, 326.) As applied, the tardiness policy *should* guarantee that rounding will only be pro-employer – even if some employees are happy being tardy – which makes this case different than *AHMC*. Moreover, the rounding policy as applied to the tardiness rule offends the principal behind the uninterrupted meal period, as expressed by our high court in *Donohue v. AMN Services, LLC* (2021) 11 Cal.5th 58, 68-69:

“small rounding errors can amount to a significant infringement on an employee's right to a 30-minute meal period ... Shortening or delaying a meal period by even a few minutes may exacerbate risks associated with stress or fatigue, especially for workers who are on their feet most of the day or who perform manual labor or repetitive tasks. Further, within a 30-minute timeframe, a few minutes can make a significant difference when it comes to eating an unhurried meal, scheduling a doctor's appointment, giving instructions to a babysitter, refreshing oneself with a cup of coffee, or simply resting before going back to work.”

In conclusion, **plaintiff has demonstrated ascertainability (the class members are easy to identify), numerosity (there are more than 250 employees similarly-situated), superiority (given the *de minimus* amount of each claim), adequacy (class counsel is experienced and motivated), and commonality with regard to the question of rounding causing employees to lose time overall, and employees cutting short their 30-minute meal period.** However, there is nothing shown to support a rest break violation, nor is there any mechanism to address when the meal period was taken given the countless variables associated with persons working in the health care field. As such, the **following classes can be certified:**

- **Class 1 (All Employees):** All California-based hourly employees employed by Dignity health at the Mark Twain Medical Center facilities between May 8, 2015, and the present whose hours worked was subject to a rounding policy;
- **Class 2 (Employees Entitled to Meal Period):** All California-based hourly employees employed by Dignity health at the Mark Twain Medical Center facilities between May 8, 2015, and the present who worked shifts that were at least six (6) hours in length and who did not receive a 30-minute uninterrupted meal period.

There is no need to certify a class of employee entitled to waiting time penalties because the waiting time theory is based on rounding, and that class is identical to the class of employees paid hourly. In other words, there is no sub-set of employees who were underpaid but not entitled to waiting time, and no sub-set of employees entitled to waiting time who were paid accurately. There is also no need to certify a \$17200 class since there is no sub-set of employees who would be entitled to injunctive or restitutionary relief separate from being underpaid.

The final concern this Court has is with plaintiff's typicality. As previously noted, the plaintiff here has a pre-existing adversarial relationship with the defendant, having lost her job for allegedly accessing her own daughter's medical records. Plaintiff accepted what appears on its face to be a rather "nuisance" amount in settlement (\$10,000) and all she really gained was the privilege of resigning rather than being fired. This might aid somewhat in future job prospects, but it seems to this Court that plaintiff must harbor a degree of disdain toward defendant that potentially clouds her judgment as the class representative. There is also an incentive of her part to negotiate for herself a higher enhancement to offset the settlement she received. There is the reality that plaintiff is not like her co-workers who work on the floor. Plaintiff had an office with a door, and could close that door whenever she wanted to take a break. She could eat at her desk – which is not ideal – but which removes the "tardy" element from her clocking in. Finally, there is the issue of her release agreement. Although plaintiff makes a strong argument for viewing the release agreement in a narrow light, the reality is that a court will have to embark on the ultimate analysis of whether her release agreement is narrow or broad – and what that means in terms of any recovery (even an enhancement). Plaintiff offers no good reason for obligating the parties to litigate the question of her release on the class members' dime, and no reason to believe that plaintiff's focus will be 100% on the class claims. **Plaintiff is not typical of the class members.** (See, e.g., *Fireside Bank v. Superior Court* (2007) 40 Cal.4th 1069, 1091; *Jaimez v. DAIOHS USA, Inc.* (2010) 181 Cal.App.4th 1286, 1307; *Watkins v. Wachovia Corp.* (2009) 172 Cal.App.4th 1576, 1592; *In re BCBG Overtime Cases* (2008) 163 Cal.App.4th 1293, 1297; *J.P. Morgan & Co., Inc. v. Superior Court* (2003) 113 Cal.App.4th 195, 212; *Caro v. Procter & Gamble Co.* (1993) 18 Cal.App.4th 644, 664.)

All of the objections lodged in conjunction with the motion are OVERRULED. The vast majority either go to the weight (rather than the admissibility) of the evidence, or are directed at items this Court does not consider material. The class is certified as indicated herein. **Plaintiff shall have 30 days leave to substitute a typical class representative.**

The Clerk shall provide notice of this Ruling to the parties forthwith. Plaintiff to prepare a formal Order pursuant to CRC 3.1312 in conformity with this ruling.

DEMURRER TO FIRST AMENDED COMPLAINT

This is one of three wrongful foreclosure cases filed by plaintiff in an attempt to regain ownership of a home he lost in foreclosure. Plaintiff does not deny borrowing almost a half-million dollars, and not paying it back. Plaintiff does not deny that the lender could assign that unpaid note to someone else, and that a deed with the right of foreclosure would follow. Plaintiff simply contends that in the exact moment these foreclosure proceedings commenced, the wrong entity was calling the shots (see Opp.Brf. 10:25).

Before the Court are brought by all the parties who have generally appeared in the action demurrers to the operative First Amended Complaint:

- (1) **Henry and Julie Martinez**, the putative BFPs who currently own the subject property. They have demurred to the Third (wrongful foreclosure), Fourth (cancellation of instruments), Fifth (slander of title) and Seventh (quiet title) causes of action;
- (2) **DLJ Mortgage Capital**, the ostensible lender on plaintiff's original loan has demurred to the entire complaint on res judicata grounds, as well as the First (intentional misrepresentation), Second (fraudulent concealment) and Sixth (unfair practices) causes of action;
- (3) **MERS and U.S. Bank**, as the beneficiary and trustee, respectively, have demurred to the First (intentional misrepresentation), Second (fraudulent concealment), Third (wrongful foreclosure), Fourth (cancellation of instruments), Fifth (slander of title), Sixth (unfair practices), Seventh (quiet title), and Ninth (elder abuse) causes of action.

The only party not demurring is LoanCity, which is not participating at all in this action. Although plaintiff makes repeated references to LoanCity admissions as evidence of wrongdoing against the others, deemed admitted RFAs are only binding against LoanCity – not the other defendants. (CCP §2033.410.) In that vein, the “admissions” of wrongdoing remain unsupported contentions/conclusions entitled to no weight against the others. (See, e.g., *Victaulic Co v. American Home Assurance Co.* (2018) 20 Cal.App.5th 948, 971-973; *Gonsalves v. Li* (2015) 232 Cal.App.4th 1406, 1411-1416.)

Pertinent Background

The salient facts can be succinctly set forth follows:

On or about 02/17/06, non-party Lemke Construction Inc. gave plaintiff John Lemke (hereinafter “plaintiff”) a grant deed to APN 061-065-001, more commonly known as 110 Bridlewood Lane, Copperopolis (hereinafter “subject property”). A few days later, plaintiff borrowed \$455,000.00 from LoanCity. The loan was memorialized by a written promissory note, and secured with a deed of trust to the subject property.

On or about 10/24/21, MERS assigned its beneficial interest in plaintiff's promissory note to U.S. Bank. U.S. Bank retained Wells Fargo to service the loan, and